

TVP-FAVAR: RMSE relative to RW per sub-period

Sub-period

Post-GFC/Pre-COVID

Post-Inflation

High Inflation

COVID

1

3

6

12

Horizon

0.99

0.82

0.77

0.75

0.82

0.79

0.82

0.82

0.82

0.86

0.70

0.58

1.13

0.94

0.88

0.97

RMSE/RW

1.1

1.0

0.9

0.8

0.7

0.6

